
HS 450: Financial Management

Course Code	HS 450
Course Name	Financial Management
L-T-P-C	3-0-0-3
Prerequisites	Preferably Financial Accounting
Intended for	UG/PG
Distribution	Elective
Approval	9th Senate (May 2016), in the Minor in Management curriculum

Course Contents

- **Introduction to finance function** Corporate form of business, Reading financial statements, Financial decision making, Profit maximization versus wealth maximization debate, Time value of money, Interest rates, Term structure and yield curve [8 Lectures]
- **Investment decisions** Rules for investment decision making, Free Cash Flow calculation, Investment in shares and bonds [10 Lectures]
- **Risk and return** Introduction to capital market and risk pricing, Capital asset pricing model, Estimation of cost of capital: Cost of equity and debt [6 Lectures]
- **Financing decisions** Capital structure in perfect and imperfect markets, implication of debt and taxes on capital structure, Financial Distress, Managerial Incentives [8 Lectures]
- **Dividend decisions** Payout process and policies, Dividend versus share repurchase, Payout versus retention, Signaling with payout, Taxes and dividend [6 Lectures]
- **Other strategic financial decisions** Short term financial planning, working capital management, Initial public offers, Strategic alternatives in Mergers and acquisitions, Corporate governance [4 Lectures]

Text Books

1. Berk, DeMarzo and Thampy, **Financial Management**, Indian Subcontinent Edition, Pearson Education (India), 2010

References

1. Prasanna Chandra, **Financial Management: Theory and Practice**, 8th Edition, McGraw Hill Education (India), 2012
2. Kester, Ruback and Tufano, **Case Problems in Finance**, 12th eEdition, McGraw Hill, 2008
3. Robert F. Bruner, **Case Studies in Finance: Managing for Corporate Value Creation**, McGraw Hill International Edition, 2006.